Lesson 4.2: Budget optimisation and ROAS: audiences and the Conversions API

What you learn

- **Custom audiences.** People who already engaged with you, using consented data.
- **Lookalike audiences.** New people similar to a source audience.
- **Conversions API (CAPI).** Sends events from your server to Meta, which helps measurement when browser tracking is blocked; set it up with consent and avoid duplicate events using event IDs.
- **ROAS.** Revenue divided by ad spend.

Tools and resources (official sites, not checked live)

- Conversions API

ASSIGNMENT

Practice for lesson 4.2

Business problem: Calculate ROAS.

Steps

1. Take spend 10,000 and revenue 35,000.
2. Compute ROAS.
3. Decide whether to scale.

Expected output: ROAS 3.5, and a decision with reasons.

SOLUTION (ANSWER KEY)

ROAS = 35,000 / 10,000 = 3.5. Compare it with the break-even ROAS from your margin before scaling.

Check yourself

1. What does CAPI add?
   Answer: Server-side event sending.
2. How do you avoid double counting?
   Answer: Use event IDs.

Lesson 4.2 of the **Marketing** lessons. See this lesson and its official links on skillnavora.in · All chapters and lessons · Open the full lesson guide. Tools, prices and plans change; confirm on each official site.